FINALTERM EXAMINATION
Spring 2010
MGT602- Entrepreneurship

Question No: 1 (Marks: 1) - Please choose one
Which one of the following is important for international business to avoid trade barriers?
- ► Protectionist attitude
- ► **Entrepreneurial partnering**
- ► Free trade areas
- ► None of the given options

VU TEACHER reply **Let me explain in more detail for your better understanding that there are different sort of barriers to international trade such as General Agreement on Tariffs and Trade, increasing protectionist attitude, trade blocks and free trade areas. In response to avoid these barriers entrepreneurs adopt a strategy known as entrepreneurial partnering. According to this strategy an entrepreneur who wants to enter in international market makes partnership with another entrepreneur of a foreign country. As this partner have better knowledge of the country's social and political environment that's why business transactions have less chances of failures.**

Question No: 2 (Marks: 1) - Please choose one
The concept of World Wide Web pages was developed in:
- ► 1960s
- ► 1970s
- ► 1980s
- ► **1990s**

Question No: 3 (Marks: 1) - Please choose one
Which one the following is the best protection against product liability?
- ► Avoid negligence
- ► **Warn consumers of any potential hazards**
- ► Give warranty
- ► Avoid misrepresentation

Question No: 4 (Marks: 1) - Please choose one
Which of the following is a powerful marketing tool for expansion of business in new market?
- ► **Licensing**
- ► Product safety
- ► Insurance
- ► Copy rights

Ref: Licensing has significant value as a marketing strategy to holders of patents
Page 50

Question No: 5 (Marks: 1) - Please choose one
Bankers say that most businesses fail because of the _____ inability to plan properly.
- ► Investor's

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► Marketer's
► **Entrepreneur's**
► Consultant's

Bankers say that most businesses fail because of the entrepreneur's inability to plan effectively (page 60)

Question No: 6 (Marks: 1) - Please choose one

Which of the following plan has names, addresses, and resumes of the directors and officers of the corporation?

► Operations
► Marketing
► Production
► **Organizational**

Organizational Plan

The organizational plan section should describe the venture's form of ownership. If the venture is a corporation, this should include the number of shares authorized, share options, and names and addresses of the directors and officers. It is helpful to provide an organization chart indicating the line of authority. This chart shows the investor who controls the organization and how members interact.

Question No: 7 (Marks: 1) - Please choose one

Which of the following is necessary to initiate the market research?

► **Data**
► Budget
► Problem
► Objectives

http://books.google.com/books?id=MFwpPKqxlwMC&pg=PA5&dq=initiate+the+market+research&hl=en&ei=LK0HTdbHB4brOZTV3cMJ&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCMQ6AEwAA#v=onepage&q=initiate%20the%20market%20research&f=false

Question No: 8 (Marks: 1) - Please choose one

Which of the following should be considered when the market for new venture is highly concentrated?

► Indirect Sale
► Direct Sale
► **Market Research**
► None of the given options

(vu teacher reply)

Question No: 9 (Marks: 1) - Please choose one

Which of the following is a process of dividing the market into smaller homogeneous groups?

► Situation analysis
► Marketing
► **Market segmentation**
► Target marketing

Market segmentation is the process of dividing the market into smaller homogeneous groups. (page 65)

Question No: 10 (Marks: 1) - Please choose one

Which statement of the following relates with the ultimate goal of Business?

► **Vision Statement**
► Mission Statement

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► Goal Statement
► Profit Statement

http://www.businessdictionary.com/definition/vision-statement.html

Question No: 11 (Marks: 1) - Please choose one

Which of the following is the most sensitive plan in the business plan?

► Financial Plan
► **Marketing Plan**
► Production Plan
► Operational Plan

http://www.answers.com/topic/business-plan

Question No: 12 (Marks: 1) - Please choose one

Which of the following shows the standard acceptable term of a Limited Liability Company?

► Three
► Ten
► Twenty
► **Thirty**

The standard acceptable term of an LLC is 30 years.

(PAGE 73)

Question No: 13 (Marks: 1) - Please choose one

Which of the following shows the characteristic of the corporation with reference to taxation system?

► Single taxation system
► **Double taxation system**
► Triple taxation system
► No taxation system

C. Tax Issues for Corporation (page 72)

The corporation has the advantage of being able to take many deductions not otherwise available. The disadvantage is that dividends are taxed twice. This double taxation can be avoided if the income is distributed as salary. The corporation tax may also be lower than the individual rate.

Question No: 14 (Marks: 1) - Please choose one

Which of the following statement provides projections of all operating expenses for each month of the first year?

► The pro forma balance sheet
► **The pro forma income statement**
► The pro forma cash flow statement
► The actual balance sheet

The pro forma income statements also provide projections of all operating expenses for each month of the first year (page 78)

Question No: 15 (Marks: 1) - Please choose one

Which of the following is **NOT** the determinant of entrepreneur's ownership?

► Cash
► Debt

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► **None of the given options**
► Equity

(page 81)

Question No: 16 (Marks: 1) - Please choose one

When the business does not have assets to support a loan, the entrepreneur may go for which one of the following options?

► **Character loan**
► Straight commercial loan
► Installment loan
► Long term loan

Character loans. (page 84)

When the business does not have assets to support a loan, the entrepreneur may need a character loan.

Question No: 17 (Marks: 1) - Please choose one

Which of the following number of years a mortgage loan may possibly cover?

► 10
► 20
► **30**
► 40

As with other types of loans, mortgages have an interest rate and are scheduled to amortize over a set period of time, typically 30 years

http://en.wikipedia.org/wiki/Mortgage_loan

Question No: 18 (Marks: 1) - Please choose one

Which of the following is the oldest development financing institution?

► Regional Development Finance Corporation
► **Industrial Development Bank of Pakistan**
► Small Business Finance Corporation
► Khushhali Bank

Industrial Development Bank of Pakistan (page 94)

IDBP is Pakistan's one of the oldest development financing institution created with the primary objective of extending term finance for investment in the manufacturing sectors in the economy.

Question No: 19 (Marks: 1) - Please choose one

Which of the following is a free method to create awareness of the venture?

► **Publicity**
► Internet Advertising
► Trade Shows
► Sales promotion

Publicity is free advertising provided by a media outlet. Many local media encourage entrepreneurs to participate in their programs (page 102)

Question No: 20 (Marks: 1) - Please choose one

In the U.S. joint ventures were first formed for large-scale projects in which of the following options?

► 1700s

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► **1800s**
► 1900s
► 1600s

U.S. joint ventures :Joint ventures are not new. In the U.S. joint ventures were first used for large-scale projects in mining and railroads in the 1800s (page 103)

Question No: 21 (Marks: 1) - Please choose one

When the implementation of SBA financial plan took place?

► 1971
► **1972**
► 1973
► 1974

Question No: 22 (Marks: 1) - Please choose one

Most informal investors:

► **Invest in firms that are geographically close**
► Make many deals a year
► Are poorly educated
► Prefer to invest in multinational

http://books.google.com/books?id=3EIqKJ-er-0C&pg=PA187&dq=Invest+in+firms+that+are+geographically+close&hl=en&ei=C_4ITdqYHuSK4gaJpd31AQ&sa=X&oi=book_result&ct=result&resnum=10&ved=0CFQQ6AEwCQ#v=onepage&q=Invest%20in%20firms%20that%20are%20geographically%20close&f=false

http://highered.mcgraw-hill.com/sites/0073530328/student_view0/chapter12/web_quizzes.html

Question No: 23 (Marks: 1) - Please choose one

Which one of the following is the process of entrepreneurs developing new products that over time make current products obsolete?

► New business model
► Anatomization
► **Creative destruction**
► None of the given options

Question No: 24 (Marks: 1) - Please choose one

The resistance of employees in an organization against flexibility, growth, and diversification can be overcome by developing which of the following?

► Entrepreneurship
► **Intrapreneurship**
► Managerial domain
► Administrative domain

Question No: 25 (Marks: 1) - Please choose one

Which of the following is **NOT** true about corporate entrepreneurs?

► They prefer direct involvement to delegation
► They tend to be moderate risk takers

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► They usually attempt to hide risky projects from view until ready
► **They follow their dreams with decisions**

Question No: 26 (Marks: 1) - Please choose one
Which one of the following factor does not differ in motivating male and female entrepreneurs?
► **Independence**
► Money
► Job satisfaction
► Opportunity
(page 24)
Question No: 27 (Marks: 1) - Please choose one
The more complex the organization, the more _____ it is to start.
► Hard
► Possible
► **Expensive**
► Easy
(page 69) The more complex the organization, the more expensive it is to start.
Question No: 28 (Marks: 1) - Please choose one
The partner sell their interests at any time without consent of the full partner, is known as:
► Nominal Partner
► Sleeping Partner
► **Limited Partner**
► General Partner
In the limited partnership, the limited partners can sell their interests at any time without consent of the general partners. A general partner cannot sell any interest unless specified in the partnership agreement (page 70)
Question No: 29 (Marks: 1) - Please choose one
Which of the following shows the name of fund that is used in sudden condition in business apart from borrowing?
► Contingency fund
► Dumping fund
► Raising fund
► **Equity fund**

Question No: 30 (Marks: 1) - Please choose one
Which one of the following private investors is **NOT** a final source of funds for the entrepreneurs?
► Friends
► **Barbers**
► Financial planers
► Technical experts

Question No: 31 (Marks: 1) - Please choose one
In which project the funding is **NOT** provided by the SBFC.
► **Agriculture**
► Gem stones
► Textile apparel

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► Marble processing

(page 93)SBFC is financing various types of projects such as Gem Stones, cotton ginning, textile apparel, and marble processing etc

Question No: 32 (Marks: 1) - Please choose one

Which of the following initial step is normally taken by the management for hiring employees?

► Interviews
► Short listing
► **Advertisement**
► Group discussion

http://books.google.com.pk/books?id=IqKBG04Z9wcC&pg=PA77&lpg=PA77&dq=what+is++initial+step+is+normally+taken+by+the+management+for+hiring+employees&source=bl&ots=acZkdT1qrS&sig=yar_kEcwogcjU-beI0J4RvhennA&hl=en&ei=ogcJTcq1D8av8gO648RL&sa=X&oi=book_result&ct=result&resnum=2&ved=0CBwQ6AEwAQ#v=onepage&q&f=false

Question No: 33 (Marks: 1) - Please choose one

_____ may also be considered if there are no other effective options for hiring new talents.

► Retired personnel
► **Personnel agencies**
► References
► Networking

Personnel agencies may also be considered if there are no other effective options. (page 96)

Question No: 34 (Marks: 1) - Please choose one

_____ is very influencing and inspiring others in the organization to strive to meet the mission of the venture.

► Quality
► Planning
► **Leadership**
► Benchmark

Leadership is also influencing and inspiring others in the organization to strive to meet the mission of the venture. (page 97)

Question No: 35 (Marks: 1) - Please choose one

Which leadership style involves the leader giving followers something they want in exchange for something the leader wants?

► Charismatic
► Laissez-faire
► Transformational
► **None of the given options**

http://www.blackwellpublishing.com/socialpsych/MCQ/chapter13.asp

In the past 25 years a substantial amount of research evidence has been accumulated about what leaders and followers offer one another. It is transactional leaders who focus on the proper exchange of resources. They give followers something they want in exchange for something the leader wants (cf. Burns, 1978; Conger & Kanungo, 1998). Transformational / charismatic leaders, in contrast, develop an appealing vision and focus on the alignment

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of the group or organizational goals with the followers' needs and aspirations in order to influence them to make sacrifices and put the needs of the organization above their own interests. Laissez-faire leaders offer very little to followers ('non-leadership'). They avoid making decisions, hesitate in taking action and are often absent when needed.

Question No: 36 (Marks: 1) - Please choose one

Which of the following item is **NOT** deducted to the salaries?

► Income Tex
► Insurance
► **Sales Tex**
► Provident fund

Question No: 37 (Marks: 1) - Please choose one

Which of the following can only be helpful to introduce the company?

► Web trading
► Price reduction
► **Free publicity**
► Personal selling

(page 102)Free publicity can only introduce the company

Question No: 38 (Marks: 1) - Please choose one

Which of the following refers to new products with some technological change?

► Ordinary innovation
► Technological innovation
► **Breakthrough innovation**
► Technical innovation

breakthrough innovation A new product with some technological change (page 5)

Question No: 39 (Marks: 1) - Please choose one

Which of the following statements describes "Domestic entrepreneurship"?

► It is the process of an entrepreneur conducting business activities across national boundaries
► **It is the process of an entrepreneur conducting business activities within the national boundaries**
► It is an innovative corporate management style that encourages employees within an organization to create new product ideas
► It is a business structure in which an individual and his company are considered a single entity for tax and liability purposes

http://books.google.com.pk/books?id=s01P0agnLPUC&pg=PA138&dq=Which+one+of+the+following+is+a+method+for+obtaining+new+ideas+and+solutions+by+focusing+on+problems?&hl=en&ei=uAzwTLCMAYemcIHtqasK&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCQQ6AEwAA#v=onepage&q=Domestic%20entrepreneurship&f=false

Question No: 40 (Marks: 1) - Please choose one

Which of the following statements best defines "creative problem solving"?

► It refers to groups of individuals providing in a structured format
► It refers to a group method for obtaining new ideas and solutions
► It refers to a method for obtaining new ideas and solutions by focusing on problems
► **It refers to a method for obtaining new ideas focusing on the parameters**

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Creative problem solving is a method for obtaining new ideas focusing on the parameters (page 40)

Question No: 41 (Marks: 1) - Please choose one

Which of the following best describes "plant patents"?

► It grants the owner protection from anyone else making, using, and/or selling the invention

► It covers the original and ornamental aspects of a product

► **It covers certain types of plants**

► None of the given options

Plant Patent

A patent covering certain types of plants. These patents are rare, and do not cover genetically engineered plants (which fall under the common Utility Patent). http://www.freepatentsonline.com/help/item/Plant-Patent.html

Question No: 42 (Marks: 1) - Please choose one

Which of the following denote no relationship between the mark and the goods or services?

► **Coined marks**

► Arbitrary marks

► Suggestive marks

► Descriptive marks

Ref: Coined marks denote no relationship between the mark and the goods and afford the possibility of expansion (Handouts Page No. 49)

Question No: 43 (Marks: 1) - Please choose one

Which of the following best describes "contract"?

► **It refers to a legally binding agreement between two parties**

► It grants holder protection from others making, using or selling similar idea

► It may be a word, symbol, design or some combination that identifies the source of certain goods

► It refers to a legal document giving official permission to do something

Ref: In law, a contract is a legally binding agreement between two or more parties which, if it contains the elements of a valid legal agreement, is enforceable by law or by binding arbitration http://en.wikipedia.org/wiki/Contract

Question No: 44 (Marks: 1) - Please choose one

Which of the following is the former name of SME Bank?

► FMBC

► **SBFC**

► SMEDA

► SPCC

http://www.smeda.org/services/financial-services.html

Question No: 45 (Marks: 1) - Please choose one

Usually which of the following activity is **NOT** recorded by the manufacturers?

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► Cash flows
► Raw material
► **Consumers data**
► Plant & machinery

http://www.principlesofaccounting.com/chapter%2017.htm

Question No: 46 (Marks: 1) - Please choose one

When a company purchased another company or a part of it in such a way that the acquired company is completely or partially absorbed and no longer exists, it would be an example of:

► Merger
► **Acquisition**
► Joint venture
► Hostile takeover

ACQUISITIONS An acquisition is the purchase of a company or a part of it in such a way that the acquired company is completely absorbed and no longer exists.(page 104)

Question No: 47 (Marks: 1) - Please choose one

In which of the following stated book value is used to reflect the actual market value.

► Book value
► Liquidation value
► Replacement value
► **Adjusted book value**

b. In adjusted book value the stated book value is adjusted to reflect the actual market value. (page 105)

Question No: 48 (Marks: 1) - Please choose one

Which of the following industry comparatively required highly skilled & educated human resource to the others?

► Automobile industry
► **IT based industry**
► Gems & Jewelry
► Textile industry

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